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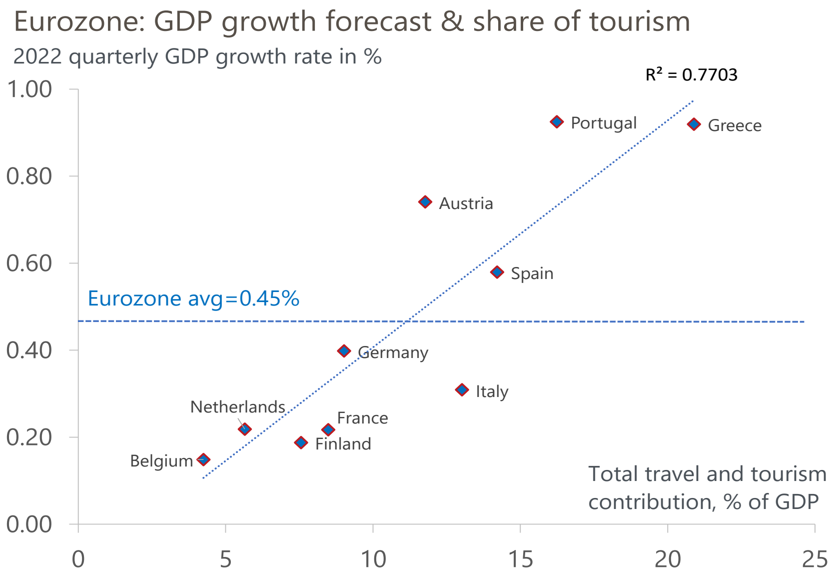
# Research Briefing | Eurozone

# Southern Europe to outperform this year

- **The expectation of a strong recovery in the tourism sector, coupled with the divergence between resilient services activity and a weaker industrial sector, means we expect Southern European economies will generally outperform the rest of the continent this year. Contrary to conventional wisdom, the outperformance of peripheral economies does not reflect a catch-up from the Covid crisis, with Spain being the only country still lagging in its recovery from the pandemic shock.**
- **Traditional tourism powerhouses such as Spain, Greece and Portugal will be among the fastest growing eurozone economies this year based on our forecasts. More broadly, the strong comeback of 'social' consumption after two years of intermittent restrictions will also drive growth in those countries given their economic structure. Despite its large tourism sector, Italy's outlook is not as positive, as the country is the second largest industrial economy on the continent and will therefore be more affected by the headwinds hitting the sector.**
- **The other main factor underpinning this divergence is the prospect of a large increase in government investment this year due to the deployment of funds under the Next Generation EU recovery programme, given that Southern economies will be among the largest recipients of funds. But beyond that, we find differences in the overall fiscal stance bear very little correlation with relative performance across countries this year.**
- **The overperformance of Southern Europe is important as it comes at a time when investors are increasingly concerned about the rise in peripheral bond yields. We think these tailwinds are strong enough to offset the tightening in financial conditions in the short term, but we see increasing downside risks to the 2023 outlook for the euro's periphery.**

The outlook for the eurozone economy has invariably worsened in recent months. The anticipation of a strong recovery in 2022 owing to the end of Covid pandemic restrictions is increasingly switching into fears that the European economy will face a recession amid a toxic cocktail of geopolitical tensions, surging inflation, declining confidence, higher interest rates and persistent supply chain issues.

Chart 1: European tourism hotpots are expected to experience the strongest recovery in 2022




*Source: Oxford Economics*

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# Southern Europe to outperform this year

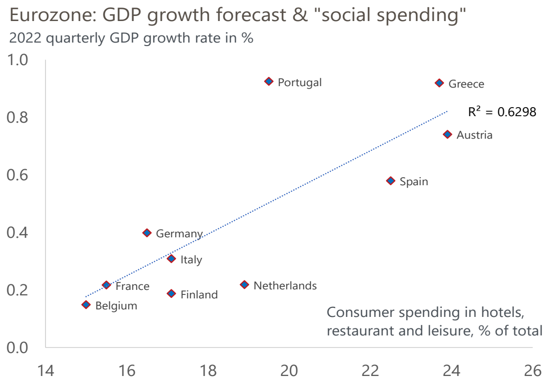
While our central forecast does not envisage a recession in the euro area, we are cognisant that downside risks have increased considerably, and we have cut our growth forecasts substantially since the beginning of the year. The downgrade to the European outlook is a common story by now, but we think there are substantial divergences in growth prospects across the region that are interesting to highlight.

We expect Southern European economies to outperform their regional peers this year. The main driver behind this divergence is the tourism sector. Despite earlier fears this year about the impact caused by the Omicron Covid variant and the war in Ukraine, we have been bullish about prospects for tourism for some time, given the signs provided by the high-frequency and leading indicators we monitor. This positive view continues to be reinforced with each new datapoint released, especially after the excellent data coming out of the Easter period, the first true test for the tourism sector. The excellent prospects for the sector mean the traditional European tourism hotspots will be among the fastest growing economies this year (**Chart 1**).

Spain, Greece, and Portugal look like clear relative winners in 2022 in terms of GDP growth forecasts. Two caveats of note: Austria's relative outperformance is entirely driven by very strong Q1 GDP figures, but prospects for the rest of the year are very weak – putting it firmly among the other core economies in terms of performance. Also, we deliberately exclude Ireland from our analysis as the large distortions to its national accounts data add a large amount of noise without providing any real insights.

Related to the strength of tourism, the second pillar that underscores our stronger growth prospects for Southern Europe comes from the switch from consumption of goods to services this year. In particular, the strong growth in "social" spending this year (defined as consumer spending on hotels, restaurants, and leisure) is highly correlated with GDP growth prospects (**Chart 2**)

**Chart 2: The return of 'social' spending will also be a key component to growth divergence**




*Source: Oxford Economics*

With consumers in Southern European economies typically spending comparatively more on these kinds of activities, we expect the strong boost provided by the improvement in the health situation to social activities following two years of frequent restrictions will be an important driver of performance divergence this year. This also reflects our expectation that, in a year when households' real incomes are going to take a large hit, consumers will be increasingly selective in their purchasing decisions, prioritising things such as leisure over other types of goods and services.

The final factor underlying our view comes from the impact of the EU's Next Generation EU programme. Although the NGEU programme was touted as a transformational moment for Europe when it was unveiled in 2020, we have long warned that the very nature of the programme, coupled with implementation issues in some countries, would likely result in a much slower and gradual impact on GDP than that initially assumed by many.

After a lacklustre 2021 in which the amount of funds deployed was significantly smaller than budgeted by governments, the progress made in the design and approval of projects means expectations for this year are much improved and public investment should receive a large boost, which in turn should underpin investment growth. Greece looks like the clear relative winner, with Spain, Portugal and Italy also enjoying solid growth in capital spending (**Chart 3**). With private investment prospects deteriorating rapidly, given the tightening of financing conditions and the worsening of the overall economic outlook, this will be a critical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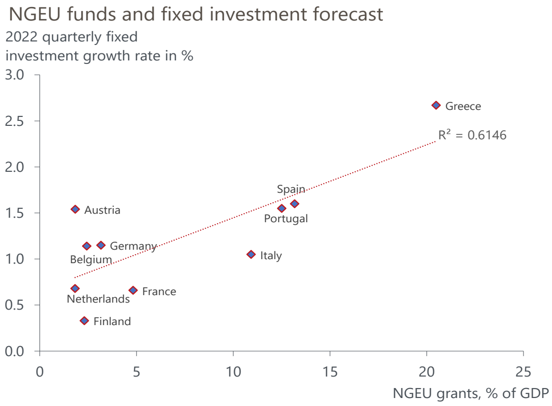
element of the forecast for total investment to perform as we expect.

### Chart 3: Investment will be largely shaped by public spending under the NGEU programme

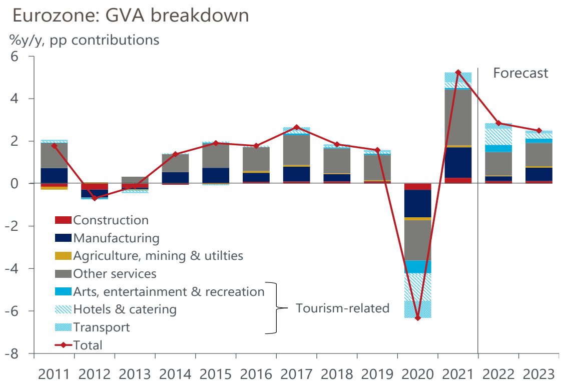



*Source: Oxford Economics*

Conversely, economies more heavily reliant on the industrial sector will generally underperform this year, with Germany being the prime example and other core economies such as the Netherlands and Finland also seeing modest growth. Italy falls somewhere in the middle, as it will benefit from some of the tailwinds described earlier owing to being a prime tourism destination as well as a large recipient of European funds. But it will also suffer the headwinds affecting the manufacturing sector, given its status as the second largest industrial economy in the eurozone.

The strong divergence between weak manufacturing and a strong services sector and its importance in supporting economic growth this year is best explained by **Chart 4**, which shows the decomposition of our growth forecast. We see growth in the euro area almost exclusively driven by services in 2022 – with more than half of it coming from sectors related to the tourism sector. The split in 2023 then becomes more balanced, as tailwinds from pent up demand in services start to taper off and we expect the industrial sector to regain some momentum as it benefits from an expected easing of supply chain problems.

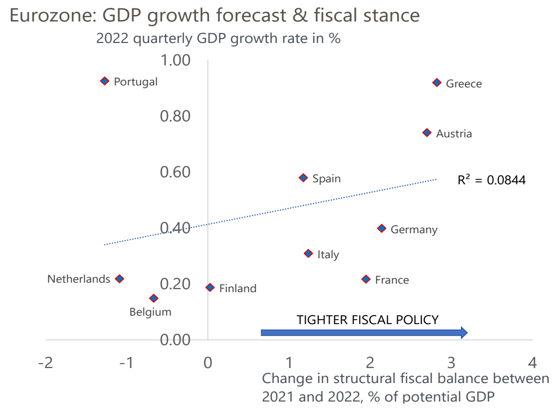
### Chart 4: We expect growth this year to be almost exclusively driven by services




*Source: Oxford Economics/Haver Analytics*

Beyond the elements outlined earlier, naturally there will be several other elements shaping this year's forecasts. But when we look at alternative explanations such as relative inflation levels and falls in real disposable income, direct economic ties with Russia or changes in the countries' fiscal stance (**Chart 5**), none of those is able to explain convincingly the divergence in GDP growth across countries this year.

### Chart 5: We find no relationship between countries' fiscal stance and relative performance




*Source: Oxford Economics*

The outperformance of Southern Europe this year is an important theme as it comes at a time when investors are increasingly concerned about the rise in peripheral bond yields. We think the tailwinds described earlier are strong enough to offset the tightening in financial conditions in the short term, but we see increasing downside risks to the 2023 outlook for the euro's periphery once the reopening tailwinds are more exhausted and the impact from higher interest rates starts to fully filter through.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